

Securities and Exchange Commission (SEC) The federal government agency that regulates mutual funds, registered investment advisors, the stock and bond markets, and broker-dealers. The SEC was established by the Securities Exchange Act of 1934.

Sharpe Ratio A measure of risk-adjusted return. To calculate a Sharpe ratio, an asset's excess returns (its return in excess of the return generated by risk-free

assets such as Treasury bills) is divided by the asset's standard deviation. It can be calculated compared to a benchmark or an index.

Short Sale The sale of a security or option contract that is not owned by the seller, usually to take advantage of an expected drop in the price of the security or option. In a typical short sale transaction, a borrowed security or option is sold, and the borrower agrees to purchase replacement shares or options at the market price on or by a specified future date. Generally, this considered a risky investment strategy.

Short-Term Capital Gain A profit on the sale of a security or mutual fund share that has been held for one year or less. A short-term capital gain is taxed as ordinary income.

Small Cap A company whose stock market value is less than \$2 billion, although the amount varies among index providers.

Spread For stocks and bonds, the difference between the bid price and the ask price.

Standard Deviation A measure of the degree to which a fund's return varies from its previous returns or from the average return for all similar funds. The larger the standard deviation, the greater the likelihood (and risk) that a security's performance will fluctuate from the average return.

Style Drift When a fund moves away from its stated investment objective over time.

Swap Agreement An arrangement between two parties to exchange one security for another, to change the mix of a portfolio or the maturities of the bonds it includes, or to alter another aspect of a portfolio or financial arrangement, such as interest-rate payments or currencies.